

LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · PART 3 OF 4

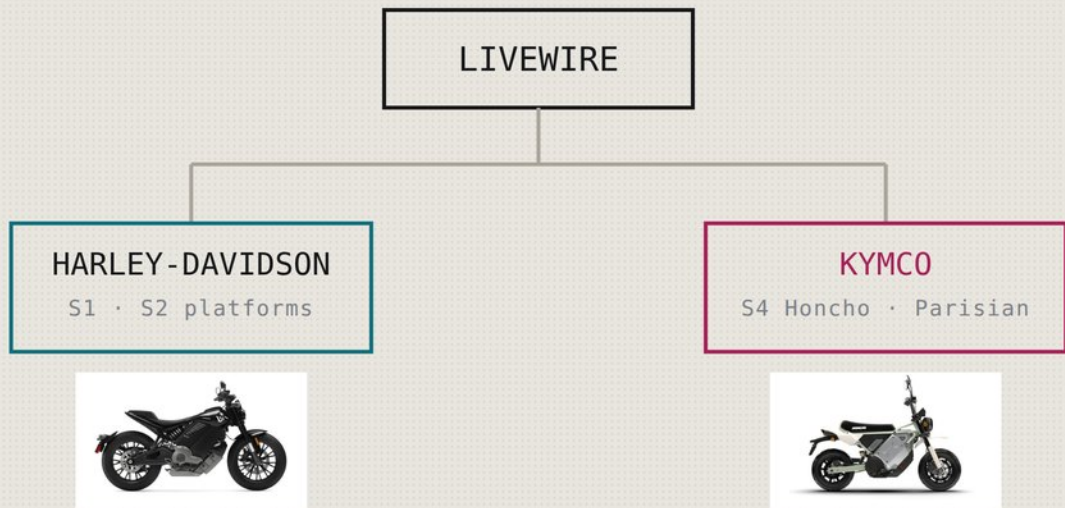
TWO CONTRACTS, ONE TRAP

Why selling more motorcycles does not fix this.



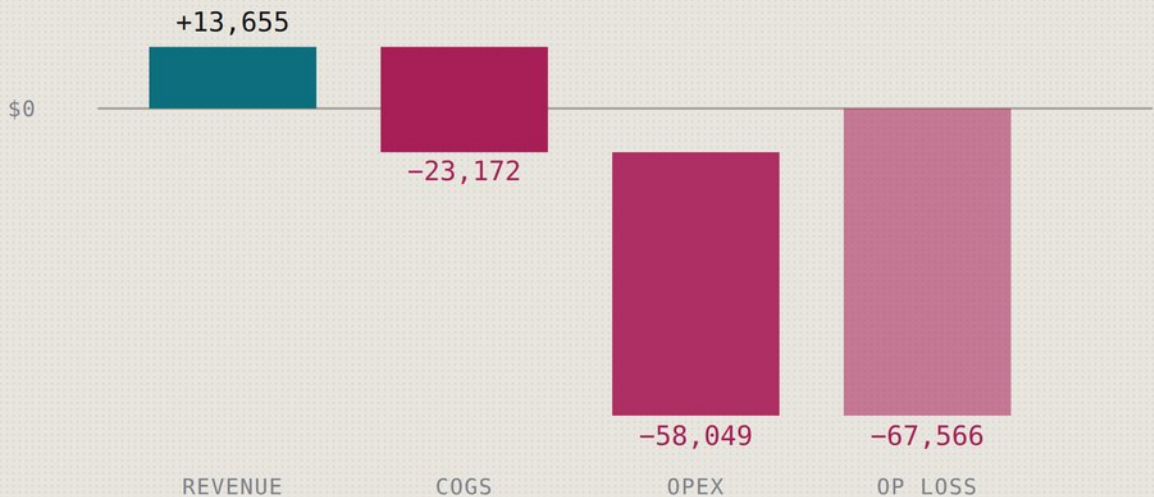
KYMCO, TAIWAN

TWO CONTRACT MANUFACTURERS, SIGNED THE SAME DAY



Both dated 26 September 2022. Both carry minimum annual volume commitments. Both charge a deficit fee if the volume is missed.

WHERE THE MONEY GOES, PER MOTORCYCLE



The motorcycle is nearly a rounding error.
\$58,049 of overhead per unit is the business.

THE PART NOBODY REPORTS

87%

OF Q2'S GROSS LOSS WAS INVENTORY WRITE-DOWNS
— NOT THE COST OF BUILDING THE MOTORCYCLE

GROSS LOSS, Q2 2026 — \$2,534K

NRV WRITE-DOWNS \$2,204K

EVERYTHING ELSE

Harley builds the motorcycles. **LiveWire** buys them at **cost-plus** — Harley's cost, plus a mark-up. Then writes them down to what they can actually be sold for. The filing proves the bikes were carried above what they would fetch; the contract supplies the mechanism.

Cost-plus in, write-down out. That is my reading of the two documents together.



THE FY2025 10-K, EXPLAINING WHY COSTS IMPROVED

"...primarily driven by a significant decrease of the number of motorcycles purchased in 2025 as compared to 2024 resulting in lower net realizable value adjustments..."

LIVEWIRE GROUP, FORM 10-K, FILED 20 FEBRUARY 2026

MARGINS IMPROVED BECAUSE THE COMPANY BOUGHT FEWER MOTORCYCLES.

SO DON'T BUY THEM. EXCEPT.

BUY THE MOTORCYCLES

They are
worth
less than
you paid

87% OF Q2'S GROSS LOSS

DON'T BUY THEM

\$6.1M

2023 PROVISION FOR EXCESS
INVENTORY COMPONENTS HELD BY H-D
UNDER THE CONTRACT MANUFACTURING
AGREEMENT



BIKES ON A BENCH, WAITING ON PARTS

Parts Harley had already procured to build motorcycles LiveWire didn't take. **There is no third option.**

BEGINNING CALENDAR 2027

MINIMUM ANNUAL VOLUME COMMITMENTS, PER PRODUCT, WITH A DEFICIT FEE.

To Harley-Davidson — and, under the agreement amended in May 2026, to KYMCO as well.



The exposure that already cost \$6.1 million once now exists in duplicate — and stops being discretionary.

THE THIRD DOCUMENT • MASTER SERVICES AGREEMENT



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DAYS' NOTICE. EITHER PARTY. NO TRIGGER REQUIRED.

Everyone quotes the "forty percent" clause. The paragraph under it — §8.3(c) and §8.4 — lets Harley-Davidson end the services agreement **for convenience**. Payroll, IT, the building, engineering support. Ninety days.

THE ECONOMICS WERE NOT DECIDED BY THE MARKET. THEY WERE DECIDED BY THE TERMS.



NEXT: THE LOAN

Part 4: the loan that settled it eight months before the quarter — and the people who did the work anyway.

Full brief — the KYMCO Exhibit A, redacted cell by cell, is in there.
weppner58-moto.github.io/ground-truth